

did well when it comes to costs at one point. Over time, its relevance has diminished.

“Competing only on cost is neither sustainable nor desirable. India’s real strength lies in engineering excellence, process innovation, operational flexibility and the ability to deliver reliable solutions across diverse markets,” says Sandip Ghose, MD & CEO of Birla Corporation, the flagship of the MP Birla Group with a cement capacity of over 20 million tonnes per year. From a customer standpoint, it is about quality, adaptability, sustainability and trusted partnerships.

The future of competitiveness, says Mathur, cannot depend on protecting margins through price or cost structures alone. As Indian manufacturing integrates more deeply with global supply chains, companies will need to benchmark themselves against global productivity, quality and efficiency standards, among other things, he says.

“The more important point on margins is that it must come from technology, resource efficiency and value creation, rather than from inefficiencies in the system or lower levels of competition,” says Mathur.

ADAPTING TO CYCLES

If India wants to compete globally, manufacturers will need to invest in automation, AI, energy optimisation and digital manufacturing systems to reduce waste, improve throughput and enhance quality.

Plus, the margin profile in manufacturing varies, depending on factors that include product mix, access to raw materials, overall cost structure and the markets being targeted. Take the case of steel, for instance, where economic cycles play a big role. “It’s a capital-intensive industry where prices, input costs and demand can move



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“India’s favourable demographics, resource base and diverse talent pool need to be made future-ready”

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MD & CEO, MERCEDES-BENZ INDIA

significantly over time. Looking at margins at a single point in the cycle rarely gives a complete picture,” says Amit Harlalka, CEO of ArcelorMittal Nippon Steel India. In late 2019, the joint venture bought Essar Steel to gain a foothold in India.

A more prudent way to look at this is whether returns generated allow companies to keep investing. Steel plants, Harlalka points out, require continuous investment in technology, safety, decarbonisation and new products. “Sustainable returns make those investments possible, strengthen competitiveness and support long-term growth,” says Harlalka.

CRACKING THE GAME

Without a doubt, global manufacturing leadership will require more than expanded capacity. Birla Corporation’s Ghose says it calls for continuous investment in technology, research and development, advanced manufacturing, skilled talent and sustainable operations.

The million-dollar question is what it will take to enter the manufacturing leadership zone. L&T’s Parab says a positive is India having moved from the tenth rank to fifth. “Our contribution needs to grow ten times to reach China’s current manufacturing contribution. To bridge this gap, India will have to focus on energy transition opportunities and new technologies like AI,” he says. It also needs to double down on R&D. “Today, that accounts for 0.84% of our GDP and needs to be at least 3% if we want to be amongst the top three manufacturing countries,” says Parab.

It is ample proof of not just how much more needs to be done but a reinforcement of the belief that it is indeed achievable. **BT**

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